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Association of Apartment Owners

Governance Document Update — The Three-Tranche Approach

Supporting document for Agenda Item 6.6.1 — Board of Directors Meeting · July 23, 2026

Prepared by Robert E. Sutor, President

The update to the Association's governing documents is organized into three tranches. The tranches are deliberately separated by the approval each requires — which changes the Board may adopt by resolution, and which require a vote of the owners — so the Board can proceed with the board-authority work without waiting on an owner vote.

Tranche 1 — Consolidation

Combine the Declaration and Bylaws and all their prior amendments into a single, clean, up-to-date document, with no changes to substance.

Required approval — Board resolution (no owner vote). An association may restate the declaration or bylaws to set forth all existing amendments by a resolution adopted by the Board; the restatement is recorded and makes no substantive change. (*HRS §514B-109(a), (c)–(d)*)

Tranche 2 — Conform to Law

Update provisions as needed to bring the documents into compliance with current Hawaii law.

Required approval — Board resolution (no owner vote). An association may restate the declaration or bylaws to conform them to current statute by a resolution adopted by the Board; such a restatement is as fully effective as if adopted by a vote or written consent of the owners. (*HRS §514B-109(b), subject to §514B-23*)

Tranche 3 — Owner-Vote Changes

A set of substantive amendments. Among the more substantive is a change to the Bylaws' Board-size range — from a five-member minimum / nine-member maximum to a three-member minimum / five-member maximum — together with other substantive and housekeeping changes.

Required approval — Vote of the owners (67%). Because these are substantive changes, they require owner approval: Bylaws amendments by 67% of the owners (and recordation); Declaration amendments by 67% of the common interests. (*HRS §514B-108(e); §514B-32 / §514B-23; Bylaws §10.2; the 3-member minimum meets the HRS §514B-106(e) floor*)

House Rules are being updated separately on a parallel track and are adopted or amended by the Board without an owner vote (HRS §514B-108; Bylaws / House Rules §N).

The Tranche 1 and Tranche 2 restatements are prepared and recorded with the advice of Association counsel.